

Overview of 2012 performance

TransCentury ("TCL" or the "Group") is pleased to announce its results for the FY 2012. The Group recorded stellar growth, which resulted in an increase in revenues and earnings driven by organic growth in our Power and Engineering divisions as well as a positive impact of the consolidation of the Group's recent strategic acquisitions.

TCL revenues grew by 26%, increasing from KES 10.70 billion in 2011 to KES 13.49 billion in 2012 while TCL's operating income rose by 22%, from KES 1.62 billion in 2011 to KES 1.97 billion in 2012. This resulted in a Profit Before Tax increase of 41%, from KES 869 million in 2011 to KES 1.23 billion in 2012.

The RVR capital expenditure project kicked off successfully in early 2012, after the first successful drawdown of debt which occurred in December 2011. Since then, almost 150 million dollars has been availed for investment in rehabilitating the track, modernization of operations through innovative IT systems, and rehabilitation as well as overhaul of locomotives and wagons. The capital expenditure program will result in a total of USD 287 million invested towards the rehabilitation of the railway assets, quadrupling current freight rail capacity from the Port of Mombasa.

Dividend

The Board is recommending for approval at the forthcoming Annual General Meeting payment of a final dividend for 2012 of KShs 0.40 per share (2011: KShs 0.25), subject to payment of withholding tax, where applicable. The dividend will be payable on or about 31st July 2013 to members on the Register at the close of business on 2nd May 2013. Accordingly the register of members will remain closed on 3rd May 2013 for one day for the purpose of dividend calculation.

Annual General Meeting

Notice is hereby given that the Annual General Meeting of the Company will be held on 30th May 2013 at 10a.m. at Strathmore University Auditorium, Madaraka, Nairobi.

Investor Presentation

Details of the Group's performance are available on the company website www.transcentury.co.ke.

By Order of the Board

Virginia Ndunge
Company Secretary
April 10th 2013

For enquiries, please contact
Mumo Muthengi
Head of capital markets
Email: mumo@transcentury.co.ke
Tel: +254 20 2245253

TRANSCENTURY LIMITED

YEAR END STATEMENT TO SHAREHOLDERS

CONSOLIDATED RESULTS FOR THE YEAR ENDED 31 DECEMBER 2012

CONDENSED CONSOLIDATED INCOME STATEMENT

	2012 KShs '000'	2011 KShs '000'
Turnover	13,487,229	10,701,621
Profit from operating activities	1,969,432	1,606,073
Net finance costs	(742,959)	(748,798)
Other losses	-	11,990
Profit before income tax	1,226,473	869,265
Income tax expense	(490,368)	(253,165)
Profit from continuing operations	736,105	616,100
Profit/(Loss) from discontinued operations(net of tax)	4,542	-
Profit for the year	740,647	616,100
Profit after tax is attributable to:		
Equity holders of the company	455,056	356,665
Non-controlling interest	285,591	259,435
Profit for the year	740,647	616,100
Basic Earnings Per Share	1.66	1.32
Diluted Earnings Per Share	1.66	1.23
Dividend Per Share	0.40	0.25

CONDENSED CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME

	2012 KShs '000'	2011 KShs '000'
Profit for the year	740,647	616,100
Revaluation of property, plant and equipment, net of deferred tax	352,815	196,859
Net change in fair value of available-for-sale financial assets	10,913	(183,220)
Available-for-sale reserve released on disposal of quoted shares	(47,979)	(29,803)
Exchange differences on translation of foreign subsidiaries	(45,122)	(139,162)
Other comprehensive income net of income tax	270,627	(155,326)
Total comprehensive income for the year	1,011,274	460,774
Total comprehensive income for the year attributable to:		
Equity holders of the company	532,484	210,367
Non-controlling interest	478,790	250,407
	1,011,274	460,774

CONDENSED CONSOLIDATED STATEMENT OF FINANCIAL POSITION

	2012 KShs '000'	2011 Restated KShs '000'
Assets		
Non-current assets	14,335,987	12,963,876
Current assets	7,509,767	9,460,388
	21,845,754	22,424,264
Equity and Liabilities		
Shareholder funds	4,902,963	4,438,967
Non-controlling interest	2,591,078	2,193,659
Convertible bond	4,574,554	4,452,798
Non-current liabilities	3,931,009	3,612,994
Current liabilities	5,846,150	7,725,846
	21,845,754	22,424,264

CONDENSED STATEMENT OF CASHFLOWS

	2012 KShs '000'	2011 KShs '000'
Cash generated before working capital changes	1,144,948	651,638
Working capital changes	(2,658,436)	1,614,126
Cash generated from operations	(1,513,488)	2,265,764
Dividends paid	(149,859)	(162,498)
Tax paid	(689,919)	(250,694)
Net cash from operating activities	(2,353,266)	1,852,572
Net cash used in investing activities	(544,185)	(4,177,996)
Net cash used in financing activities	341,059	4,848,247
Increase/(Decrease) in Cash and Cash Equivalents	(2,556,392)	2,522,823
At start of the period	2,495,403	(27,420)
At end of the period	(60,989)	2,495,403

The financial statements for the year ended 31 December 2012 were audited by KPMG Kenya, Certified Public Accountants and received an unqualified opinion.

TRANSCENTURY LIMITED

CONDENSED CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

	Share capital KShs '000	Share premium KShs '000	Revaluation reserves KShs '000	Translation reserve KShs '000	Available for sale reserve KShs '000	Revenue reserves KShs '000	Proposed dividends KShs '000	Total KShs '000	Non-controlling interest KShs '000	Total KShs '000
Balance at 1 January 2012- As previously stated	136,975	379,717	620,572	241,201	234,659	2,757,355	68,488	4,438,967	2,580,702	7,019,669
Prior period adjustments *	-	-	-	-	-	-	-	-	(387,043)	(387,043)
Balance at 1 January 2012 - As restated	136,975	379,717	620,572	241,201	234,659	2,757,355	68,488	4,438,967	2,193,659	6,632,626
Total comprehensive income for the year net of tax	-	-	-	-	-	455,056	-	455,056	285,591	740,647
Net profit after tax	-	-	173,206	(58,712)	(37,066)	-	-	77,428	193,199	270,627
Other comprehensive income	-	-	173,206	(58,712)	(37,066)	455,056	-	532,484	478,790	1,011,274
Total comprehensive income	-	-	173,206	(58,712)	(37,066)	455,056	-	532,484	478,790	1,011,274
Transactions with owners	-	-	-	-	-	-	(68,488)	(68,488)	(81,371)	(149,859)
Dividend paid	-	-	-	-	-	(109,580)	109,580	-	-	-
Proposed dividends	-	-	-	-	-	(109,580)	109,580	-	-	-
Total transactions with owners	-	-	-	-	-	(109,580)	41,092	(68,488)	(81,371)	(149,859)
Balance at 31 December 2012	136,975	379,717	793,778	182,489	197,593	3,102,831	109,580	4,902,963	2,591,078	7,494,041

* The prior period adjustments relates to fair value adjustment for subsidiary acquired in the prior year.

The financial statements for the year ended 31 December 2012 were audited by KPMG Kenya, Certified Public Accountants and received an unqualified opinion.